

from which the monthly maintenance comes to \$20,000 (Rs 8 lakh) and the cost of an hour of flying \$800 (Rs 32,000). If one flies between 100 and 300 hours annually, one could go for fractional ownership. Club One Air charges Rs 49 lakh for co-ownership of an Eclipse 500 for 5 years, with an annual usage of 100 hours, every hour being charged at Rs 65,000. "For every 200 hours of travel by a private jet," says Manav Singh, CEO, Club One Air, "one saves 50-60 hours as compared to travel by a commercial plane."

For those who don't fly frequently, charters are a good option. They can also purchase flying hours in bulk for cheaper deals. Hourly charter costs range from Rs 1 lakh for a four-seater to Rs 3-4 lakh for a six-seater. Even if you travel one way, you have to pay for the plane's return journey. There are also chopper charters, which cost upwards of Rs 80,000 per hour. Popular destinations include Rajmundry, Jamnagar, Vijayawada and Uttarlai (near Jaisalmer), most of which are underserved by commercial carriers. Maldives and Dubai rule outbound charter schedules.

Says Mehernosh Kapadia, chairman, Taj Air, "Convenience, flexibility and privacy are the things my clients value the most." Charter operators are

bending over backwards to please their customers, offering not only a smooth journey, but also luxuries onboard. On a NetJets flight, one gets to sample food from Europe's most exclusive eateries: The Four Seasons, Nobu, Hakkasan, Fortnum & Mason and Vama.

There are over 200 privately owned aircraft in India today, 150 of which have been added in the last three years. With the demand for charters soaring, even NetJets, an international charter company which does not have a base in India, has seen an increase in the number of its flights to and from the country. Says Joaquin Shealf, director, NetJets Europe, "In 2004 we did less than 20 flights. The

number has gone up to 100." Meanwhile, domestic players are buying aircraft by the dozen. At the Dubai Air Show in November last year, Invision Air ordered 20 jets—18 Phenom-100s and two Phenom-300s—for Rs 287 crore. The yet-to-be-operational BJets—which will focus on fractional ownership and expects revenues of over \$400 million (Rs 1,600 crore) in the next five-six years—ordered 50 business jets, largely Cessna Citation CJ2s and Hawker XPs, for Rs 2,400 crore at the Singapore Air Show in March this year, even as Club One Air acquired 10 Eclipse 500s.

A bulk of the deliveries are expected in 2009. But since in some cases the post-order waiting period could be as long as four-five years, charter operators lease aircraft or buy pre-owned ones available at bargain prices due to the slowdown in the West. Ran Air's CEO and MD Sanjay Godhwani bought a seven-year-old Falcon, whose original cost was \$31 million (Rs 124 crore), for \$23 million (Rs 92 crore).

Globally the private aviation market is huge, with 3,000 charter operators in just the US, which has 5,300 airports, less than 500 of which are used by commercial airlines. Half a dozen applications from wannabe airlines are pending with the Directorate-General of Civil Aviation, but infrastructure poses challenges. Getting parking slots at airports in metros is near-impossible. There are no private terminals. Amit Sinha, CEO, GMR Aviation, says, "This is holding back the boom." He expects the first private terminal to come up in Delhi by the end of the year.

Even as private charters are here to stay, Vinit Phatak, MD, Invision Air, plans to offer an air-taxi service on a point-A-to-point-B, per-seat, on-demand basis by 2010. An air-taxi will typically be a VJL, which can seat four passengers and costs one-third of what an entry-level light Cessna or Bombardier costs. Since the fuel and maintenance costs, too, are almost half, the fare could be as low as Rs 35,000 per seat per hour. More and more people are kicking off their shoes to relax on board a private jet, but for those who can't afford it, it's back to the 6 a.m. flight. ■



Manav Singh

The CEO of Club One Air, which started with fractional ownership and is now getting into air charters as well, has over 200 clients, including the Ambanis, who logged in more than 100 hours of air time last year despite having their own private jets. Club One Air has ordered 10 very light jets and owes 75 per cent of its revenues to its air charter business.

